

CONCEPTS AND SCOPE OF ENTREPRENEURSHIP

The practice of entrepreneurship is one of the building blocks behind the great growth and development of the developed economics. Many countries have therefore considered it very essential to pursue entrepreneurial goal and to phase-out the social vices associated with unemployment on the other hand. It's the quest for solution to the above economic virus (unemployment), successive government in Nigeria expended effort (resources) in developing various programmes with a view to develop entrepreneur with positive thinking and creative mind. The objectives are to make individuals self-employed and contribute positively to the economic development of the country. To conduct entrepreneurial activities effectively. The entrepreneurs are expected to possess dozen of characteristics and skills in order to make ~~sale~~^{self} decisions and to allocate the uneven and service resources appropriately.

Entrepreneurship: The word entrepreneurship is derived from a French word entrepreneur which means to initiate or take action. In 17th century the word entrepreneurship was used by the French to describe contractors handling project like road and bridges. Entrepreneurship can be considered as a creative activity.

William, G. et al. (2002) defines entrepreneurship as accepting the risk of starting and running a business. It is the ability and willingness of an individual to create and build something that is virtually non-existing. ~~Entrepreneurship~~: Entrepreneurship can thus be defined as a tactical approach that enables a person to ~~respond~~ to respond to change and solve problems in whatever circumstance that an individual happened to find him/herself.

Drucker (1961) according to him, entrepreneurship is a systematic innovation which consists in the purposeful and organized search for change, and it is the systematic analysis of the opportunities that such changes might offer product or services.

For economic and social innovation, entrepreneurship is an economic activity that on economic gains.

Robert (1994), entrepreneurship is a process of bringing together creative and innovative ideas and coupling these with management and organization skills in order to combine people,

money and resources to meet an identified need and thereby create wealth. The bundles of ideas in the minds of creative thinkers often turn to be consumable items that the society survived on. Enterprise that are floating the economy today are the end result of entrepreneurship activities.

Herbert and Link (1982), entrepreneurship is the kind of behaviour that includes initiative taking, organizing and recognizing of social and economic mechanisms to turn resources and situations to practice account and the acceptable of risk or failure.

Ronstad (1984), sees entrepreneurship as the dynamic process of creating incremental wealth. The wealth is created by individuals who assume the major risk in terms of equity, time or career commitment or provide value for some product or services.

Hisrich, Peter and shepherd (2007) are of the opinion that entrepreneurship is the process of creating something new with value by devoting the necessary time and effort.

Gomez – Mejia and Balkin (2002) define entrepreneurship as the process of creating business enterprise capable of entering new established market.

Odusina (1975) defines entrepreneurship as the process of using available capital in any form for business endeavours in an open and free market economy with the sole purpose of making profit at all risk levels.

Maris (1972) defines entrepreneurship as practical creativeness which combine resources and opportunities in new ways. It involves application of personal qualities, financial and other resources within the environment for the achievement of business success.

Emmanuel (2002), argues that entrepreneurship can be as the willingness ability of an individuals to seek out an investment opportunity establish an enterprise based on this and run it successfully. It is actually concerned with crating opportunity and meeting the needs of individuals.

From the above definitions we can conclude that entrepreneurship is the process of creating new products, services and ideas by pooling resources and effort together in order to

- generate more wealth for the transformation of the economy after a diligent consideration of the risks and bottlenecks that are available in the environment.

The desire by individuals for status recognition in the society, needs for creativity and achievement, risk, independence and leadership etc. to promote entrepreneurship.

Entrepreneurship success is centered on local and great business ideas. Business ideas are generated by entrepreneurs to respond to changes in the market requirement to stay ahead of competitor and exploit technology opportunities in the environment. It is costly mistake for an entrepreneur to launch a product or services that have been developed out of a poorly concerned idea. Utmost care need to be taken when conceiving business idea if at all the idea is to be feasible.

THE HISTORY OF ENTREPRENEURSHIP DEVELOPMENT IN NIGERIA

Africa is one of the poorest, less developed continent in the world. In most countries in Africa, the government have typically played a significant role in determining the course of development. Many state owned enterprises in Africa were created with the believed that, it is the fastest way of development, when the state took on the role of the entrepreneur. Unfortunately, in many countries, the performance of these state owned or parastatals, has been substandard as they were run by bureaucrats and plagued with red-tape i.e they were operating under official restricted and complicated rules and regulation that prevent quick development. Because, these firms were typically run according to state procedures, instead of cost cutting and profit maximizing concerns. The result there of was rampant inefficiency (Elkan, 1988). But with recent Nigeria pursued of entrepreneurship encouragement policies, the policies, the policies are said to have been successful compare to the initial policies.

In Nigeria, the state – owned enterprises traditionally clogged (blocked) business opportunities and state restrictions prevented entrepreneurs from entering the market.

However, in the mid-1980s, Nigeria abolished its marketing board, which prevented entry into certain industries, and opened up its markets to competition from domestic entrepreneurs.

Additionally, lower taxes and increased price ceilings have increased the incentives to entrepreneur. Although Nigeria is still plagued by many development problems, preliminary evidence suggests a favourable response by the private sectors to the new entrepreneurial opportunities thus created (Elkan 1988).

THE ROLE OF PERSONAL SAVINGS AND PORTFOLIO INVESTMENT IN NATIONAL ECONOMIC DEVELOPMENT

INTRODUCTION: personal savings and portfolio investment are components of the financial system of every country. They are means through which both short term and long-term funds are raised by individual's firms, industries, companies or government, to sustain their business activities.

Personal savings and portfolio investment are very significant to the life of every enterprise whether private or public. It is therefore necessary and important for enterprises that want to go public to know the procedure that are involved and the relevance and role of personal savings and portfolio investment in order to exploit the market effectively.

Income: This is generally defined as money that is received as a result of the normal business activities of an individuals or a business. The term income in accounting is synonymous to the term revenue.

Income is, increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases in liabilities that result in increase in equity.

For the average citizen in many countries, the term "income" is most relevant for its role in determining how much income tax a person must pay.

Saving: in common usage, saving generally means, money that is being put aside e.g. money put in the bank or investing in a pension plan.

In a broader sense, saving is typically used to refer to economizing, cutting cost or rescue something.

In terms of personal finance, saving refers to preserving money for future use by putting it on deposit.

Saving differs from savings. While saving refers to the act of putting aside money for future use, savings on the other hand refers to the money that was once saved. For example, one may decide to start saving 20% of his/her income; because he/she aim that his savings may grow into an amount sufficient to buy a car.

SAVING IN PERSONAL FINANCE: Savings within personal finance refers to the accumulated money put aside by savings. It is the nominal preservation of money for future use.

Although, inflation can still erode its real value. A deposit account, paying interest is typically used to hold money for future needs. E.g to purchase a car, build house, to pay children school fees or pay tax bill etc.

Within personal finance, money used to purchase shares, or put in a collective investment scheme or used to buy any asset where there is an element of capital risk is deemed as an investment. Whereas money involved in cash is saving.

PERSONAL FINANCIAL PLANNING AND MANAGEMENT

This is the application of the principle of finance to the monetary decisions of an individual or family unit. It addresses the way in which individual or families obtain, budget save and spend monetary resources over time, taking into account various financial risks and future life events. Components of personal finance might include checking and savings credit card and consumer loans, investment in the stock market, retirement plan, social security benefit, insurance policies and income tax management.

Personal financial planning: A key component of personal finance, is financial planning, a dynamic process that requires regular monitoring and revaluation in general, it has five steps.

STEPS IN PERSONAL FINANCIAL PLANNING AND MANAGEMENT

1. Assessment: personal finance situation can be assessed by compiling financial balance sheets and income statements. A personal income list, personal income and expenses.

2. Setting goals: it is good to set several goals, some short term and some long term. Setting financial goals also helps direct financial planning.
3. Creating a plan: the financial plan detail shows how to accomplish your goals. It could include e.g., reducing unnecessary expenses, or investing in the stock market.
4. Execution: execution of once personal planning requires discipline and perseverance. Many people obtain assistance from professions such as ~~such as~~ accountant, financial planners, investment advisers and lawyers.
5. Monitoring and reassessment: as time passes, once personal financial plan must be monitored for possible adjustment or reassessment.

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THE ROLE OF SAVINGS IN STARTING AND SUSTAINING BUSINESS

You want to start a Business, start saving your money you have two options.

1. Work on the new venture while still at your current job.
2. Save enough money so that you can quit your job and focus on your new company full time. Create a budget to see how much you need to save to start you Business.
3. Create a budget to see how much you need to save, to start your business.
4. Beyond saving for a new business, there are other options such as borrowing.

PORTFOLIO INVESTMENT AND BROKERAGE

In economics and finance, portfolio investment represents passive holding or investment on securities such as shares or stocks bonds or other financial assets by investors in order to exploit, given return.

A brokerage is a firm that acts as an intermediary between a purchaser and a seller. The broker communicate with both the buyer and a seller as to acceptable price of anything sold or purchased.

The broker or the brokerage firm, complete any necessary legal paperwork, obtain the appropriate signatures and collect money from the purchaser to give to the seller. Since the brokerage to complete the deal, the brokerage may collect a portion of the money obtained. In some cases, a brokerage receives money from both parties. In some other times, the brokerage receives a commission only from the seller.

Brokerage firms are most commonly thought of in relationship to the sales and purchase of stock shares. Fees paid to brokerage varies depending on the degree to which the brokerage is involved in decisions about purchase, regardless of whether the owner loses or earns, money, the firm is paid.

THE STOCK MARKET

A share or stock is a small ownership stake in a company. When you buy stock from a company you become a shareholder or stockholder. Companies sell stock in order to raise the money needed to expand or improve their businesses. Businesses that raise capital in this way are called public companies.

Investors buy stock to obtain returns on their investment firm just as you may deposit money in a saving account to earn interest. If you purchase the stock of a company that does well, you may earn a higher return than what you could earn from a savings account and your money may actually grow faster.

DIFFERENCES BETWEEN SHARE AND DEBENTURES

SHAREHOLDERS	DEBENTURE HOLDERS
Are effective owners	Are creditors
May vote at annual general meetings (AGMS) and be elected as director	May not vote at annual general meeting and cannot be voted as directors
Receive profit in the form of dividends	Receive a fixed rate of interest
If there is no profit they do not receive a dividend	Received interest regardless of whether or not profit has been made

THE ROLE OF PERSONAL SAVINGS AND PORTFOLIO INVESTMENT IN NATIONAL ECONOMIC DEVELOPMENT

1. Formation of capital: Share investment by individuals, enterprises and companies serves as a drive the stimulates massive formation of capital to individuals enterprises and companies that want to increase their working capital.
2. Mobilisation of capital: Share investment serve also as an avenue by which public companies raise additional fund firm both domestic and international market through public offers.
3. Allocation of capital: Companies and government obtain necessary funds to sustain their projects as they source funds from surplus to deficit unit of the economy.

4. Increase revenue: The operation of portfolio investment leads to substantial increase in the revenue that accrues to government as a result of corporate taxes.
5. Generation of employment: Portfolio investment stand a better chance of creating more employment opportunities to individuals and institutions that are able to offer unique service.
6. Indices of economic performance: The activities of portfolio investment are used as indices for measuring the economic performance of a particular country.
7. Safe keeping of investors' funds: Investment in portfolio serves as a safe custodian of investors' money that could be exposed to theft and other hazards when kept at homes.
8. Provision of facilities and investment environment: Portfolio investment provide the necessary facilities that are needed to move capital resources from surplus to deficit unit of the economy and create an investment environment that will stimulate potential and prospective investors to participate actively.

NATURE AND TYPES OF INFORMATION REQUIREMENT BY ENTREPRENEURS

- a. Marketing information
- b. Technical information
- c. Information and communication technology
- d. Financial information

WHERE TO OBTAIN INFORMATION AND ASSISTANCE (SOURCE OF INFORMATION FOR ENTREPRENEURSHIP DEVELOPMENT)

1. Industry data: This is helpful in comparing a Business to other similar businesses. Data from trade association or government agencies e.g stock turnover, cash discounts, percentage mark-up, average sales per month etc.
2. Membership-based organization: This can provide services such as political lobbying, conducting research, organizing

education and training programmes, implementing new technology, responding to members questions and concern and disseminating information through newsletters, magazines and specials reports.

3. Subscribing to trade papers and magazines. This is also desirable. Entrepreneurs should set aside time to read articles in trade related magazine. This is especially important in understanding new trend and development relating to the business. He should keep a file of pertinent articles for future reference.

4. Training programmes. This help entrepreneur to develop formal of plans for improving their management skills and ability. Training courses and adult education programme are designed by many institutions, agencies and association. Entrepreneurs should be aware of these personal developments possibilities and take full advantage of them.

5. Consultations. This group of people can be of assistance both directly and in directory. Entrepreneur should pay special attention to the approach and techniques used by a consultant to solve business problems. When working on solution to future problems, you may have to act as your own consultant and may want to use these same technologies.

6. The library. This is a primary resource for information. Government agencies have a variety of publications which may be helpful. Some colleges and university have reference libraries which may have a circulation section available to the public.

Research institutions and some large corporations have libraries with sections on specific topics. Trades associations and labour organizations may also have libraries containing materials related to specific needs. Libraries are store house of information which may be useful in operating a small business. Books, periodical reports and newspapers may contain information which can be of help in solving some of the problems in operating business.

If the businesses are unrelated and do not complete for some customers, entrepreneurs may be willing to share ideas concerning solutions to common problems. In this way, all business owners can benefit from this interaction and improve their business operations.

5. Free web sites: Information and communication technology specialist can direct entrepreneurs to free web sites special list can be consulted.

6. Professionals: The talents of professionals, such as web designers, and specialists, financial advisors, bankers, management consultants, insurance agents, accountants and book keepers, estate agents, surveyors and lawyers etc. can assist in solving business problems. Entrepreneurship can develop good questioning techniques to get as much advice and information as possible from these professional. Each professionals person is a potentials resources, but entrepreneurs must be able to explain their needs clearly and ask relevant questions concerning their needs so that professionals can provide valuable advice.

THE ROLE OF COMMERCIAL AND DEVELOPMENT BANKS IN THE PROMOTION OF SMALL AND MEDIUM ENTERPRISES

INTRODUCTION

Indeed, the commercial and development Banks are contributing a lot towards the promotion of small and medium enterprises especially in the various functions they carry out in their day to day operations. The potential entrepreneur therefore benefit from the functions and assistance rendered by those financial institutions. It is in this direction that inputs are provided in this section to highlight the positive roles of commercial and development Banks in the development of small and medium enterprises.

THE ROLE OF BANKS AND FINANCIAL INSTITUTIONS IN ENTERPRISE PROMOTION AND DEVELOPMENT

The reduction of the six existing development finance institutions (DFIs) to two i.e (BOI and NACRDB) has narrowed the playing field and streamlined the operations of the DFIs. The Nigerian industrial development bank (NIDB), the National economic reconstruction fund (NERFUND) and the Nigeria bank for commerce and industry

7. Internet: This can be used to carry out research and to find useful information and data. Email can be used to communicate with providers of information who have websites on the internet.

8. Business development services providers: These are many business development services providers who will offer guidance in various aspects of business operations.

WHO CAN PROVIDE INFORMATION AND ASSISTANCE

1. Employees: Few entrepreneurs can do everything themselves, and so, they need qualified employees to relieve them of most of the day to day operational problems. This allows them to educate their time to working on the lower range problems. The people who work for a business can provide answers to specific problems in a business. For example, entrepreneur might ask employees for their advice, and assistance about stock display or customer attitudes. Employees are in a good position to give valuable advice providing they know that their opinions and suggestions are valued.

2. Customers: These people can supply very special information about the products and services they buy. Customers should be asked of their opinions because they are an excellent sources of information about the relative strengths and weaknesses of a business operation.

3. Suppliers: Because the success of most suppliers depends on the business they served, it stands to reason that they should be interest in an entrepreneur's success.

Many suppliers are able to give sound management advice because they are able to explain how others successful businesses operate and provide suggestions about how business can improve.

4. Other business owners: Most businesses have common

Problems and owners are generally willing to discuss their problems with one another. Occasionally, the competitive nature of business may discourage this frank exchange.

(NBIC) have been brought together to form the bank of industry (BOI).

On the other hand, the family economic advancement programme (FEAP), the people bank of Nigeria (PBN) and the Nigerian agricultural and cooperative bank (NACB) have become a single bank, i.e the Nigerian agricultural, cooperative and rural development bank (NACRDB) these institutions before the government took the decision to merge them, were unable to perform their roles effectively due to the following reasons:

- i. Low capitalization
- ii. Inefficient operations
- iii. Poor liquidity
- iv. Poor loan portfolio investments
- v. Inability to access external lines of credit (6) Lack of capacity to finance projects.

BANK OF INDUSTRY (BOI)

The bank of industry (BOI) is owned by the federal government of Nigeria. This bank emerged from the governments rationalization of institution (DFIs) namely the Nigerian bank for commerce and industries (NBCI), Nigeria industrial development bank (NIDB) and the Nigerian economic reconstruction fund (NERFUND).

THE BANK OF INDUSTRY HAS FOUR SUBSIDIARIES FROM ITS MERGER

1. Leasing company of Nigeria (LECON)
2. NIDB trustees limited
3. NIDB consultancy and finance limited NIDB consultancy.
4. Industrial and development insurance brokers (IDIB)

TYPES OF PROJECT FINANCED BY BOI

- i. Projects in the areas where Nigerian has comparative advantage.
- ii. Projects that engage in the efficient conversion of local raw materials into finished products.

- iii. Ventures that can be least cost producers of good quality products that could be successfully marketed locally or internationally.

PRODUCTS AND SERVICES DELIVERABLE BY BOI

1. Medium and long-term loans
2. Working capital finance
3. Equity financing (shares financing) appropriated
4. Management of dedicated funds
5. Loan guarantees
6. Co-financing
7. Investments in corporate boards
8. Business development services lease financing
9. Lease financing
10. Trusteeship
11. Stock brokerage
12. Foreign exchange leadership
13. Insurance brokerage

THE ROLE OF BANKS IN SMALL SCALE INDUSTRIAL DEVELOPMENT

Banks and other financial institutions have played a dominant role in enhancing the economic state of a country, by distributing financial resources from the surplus to the deficit unit of the economy. This shows that they are profoundly important to entrepreneurs, since they supply them with the necessary financial and moral supports that aid the development of entrepreneurial activities and the economy at large. The roles played by the banks and other financial institutions are;

① Financing Role

The banks are primarily established with the aim of accepting deposit from their customers and giving the customer the amount needed at the time they are in need of money. Banks as part of the development effort lends out some of the deposits money to the

order
entrepreneurs in order to finance their activities. The funds that are given by the banks forms the debt equity capital of the enterprises and such funds are used to develop the enterprises. This is because when the entrepreneurs are constrained by capital, they resort to the banks and other financial institutions to collect loans and other facilities that are available to sustain their activities.

Statutory Roles

Banks have been identified with statutory roles from their conception as contained in the law regulating the conduct of banking, which vary from one country to another. The statutory roles performed by banks in Nigeria are;

(a) **Accepting and safe-guarding customer's deposits:** The banks are specifically entrusted with the role of accepting customers deposits and such money is kept under secured custody until they are demanded by their owners. By virtue of this law, it is only an organization that is registered as a bank that can only perform this role. The banks on the other hand extend the money to individuals and organizations that need funds in return of an agreed amount of interest to be paid at the maturity date of the loan. The depositors in return are given some interest for keeping the money in the bank especially holders of savings and fixed deposit accounts. Apart from the deposit purpose they are also assured of the safe keeping of their money and such deposit enables the owners to borrow loans or over draft from the banks as the case may be.

(b) **Money transfer;** Banks by the virtue of their establishment do aid in the transfer and movement of money from one account to another especially when the source account is domicile in the bank. The introduction of the electronic banking system accelerates the transfer of money from one account to the other or from one location to another without much difficulty as opposed to the traditional banking model.

(c) **Facilitate payment through standard order;** this is another method of transferring fund from one account to the other based on order or instructions given at a particular interval of time. Individuals use standard order to remit their premium, school fees, club subscription and family upkeep etc. this medium of effecting payment is based on the instructions given by the customers to the banks using an authority later or standard order form.

(d) **Lending money to customers;** The banks do assist in lending money to both individual and enterprises out of the total volume of money deposited by their customers. The money is given to customers in return of an agreed interest, which is based on the amount that is given to the customers.

(e) **Promoting investment;** The banks and other financial institutions like insurance companies, discount houses, etc. are established in order to promote and sustain a favourable investment climate. The banks and these institutions channelled their resources into profitable ventures that will generate profit. The establishment of small and medium scale industries equity investment in Nigeria is a practical demonstration of promoting investment opportunities.

(3) **Advisory role and functions;** The banks are always in a good position to render advisory service to their customers owing to their pool of expert and skilled personnel. The advisory roles that are identified with the banks cover the following.

(a) **Exploiting profitable time business;** the banks and these institutions always advise the entrepreneurs on how to exploit profitable opportunities that have the potential for growth. This type of advice enables the entrepreneur to be able to make careful evaluations and analysis of various investment opportunities that are discovered in the environment of interest.

(b) **Selecting a control system;** control is an inevitable part of entrepreneurial responsibilities that must be carried out in order to attain organizational objective effectively. Therefore, there are many control systems that are adopted by an organization in order to regulate the conduct of their operations. Banks and financial institutions do advise entrepreneurs on the control measures and system to adopt to manage their enterprises.

(c) **Selecting an operational strategy;** banks and these financial institutions do advise entrepreneurs on the operational strategy to adopt in order to attain their goals and objectives. For instance a bank may advise his client on the promotional strategy, financing strategy, and market segmentation strategy to adopt etc.

(d) **Tax related issues;** banks usually offer a lot of advice to their client on matters relating to tax especially the income and

personal taxes, which includes capital gains and transfer tax. The banks also serves as instrument that are used in collecting tax from individuals and enterprises on behave of government. For instance, the Nigerian government uses many banks to collect tax from individuals and corporate bodies.

(e) Reference report/status enquiry: The banks also do provide all the necessary forms of information that may be required in respect of their customers. This type of information about customers status are usually required by some creditors and suppliers especially when they want to embark on some business deals. The essence of seeking for the financial status of the parties or businesses in question is to enable the suppliers and creditors to know their financial status.

(f) Providing performance bond report: This is an advisory role that is given by the banks on behave of their customers to enable them secure the contract they have bid for. The performance report shows the financial statuses customers of an attestation that the said customer can discharge the contract effectively when given the approval.

(4) Informational roles: Banks and other financial institution do perform this function because they are custodian of different type of information, and they provide such information when their need arises. The information role of banks includes;

(a) Dissemination of banking regulations: The bank and other financial institution are the avenue by which government disseminate its policies, laws and other guidelines regulating the conduct and practice of banking and the money market. This policies and laws are transmitted through the regulative authorities, via banks, the costumer and the general population.

(b) Provision of credit information: The banks and other financial institutions are by virtue of their establishment are made the custodian of different strategic information within the circle of their operations. They avail their customer with vital information about the credit standing of those they want to transact business with especially by contacting their foreign agent or correspondent. The information provided to the entrepreneurs tend to assist them to know the credit worthiness of the potential

suppliers, or buyers, or agents as the case may be in order to make the decision of dealing with them or not.

- (c) Safety and guarantee roles; the bank and other financial institutions are also identified with the safety and guarantee role by keeping valuable items and serving as guarantors as discussed below.

➤ Safe keeping of valuable items; the bank and other financial institutions do play the role of keeping valuable items like money, certificate, share certificates, gold, and ornaments etc that belong to their customers under safe custody. The condition under which these items are kept in the bank is based on agreements.

Executorships and trusteeship; The banks and other financial institution are usually appointed by their customers to act as executor of their will when they die. This is a common practice that is identified with estate properties and landed assets. To discharge this responsibility effectively, some banks have establish executors and trustees department to handle this type of service that may be required by their customers. This department by virtue of its existence administers the will effectively by giving the concerned parties their fund as contained in the will without fear and prejudice.

(e) **Guarantees;** Banks and other financial institutions do stand for or serve as guarantor to their customers when the need arises. this type of role is commonly practice when customers want to buy some items from suppliers or when the customer want to collect loan and other document from the government or its agencies like, NDE, Corporate affairs commission (CAC) etc.

Investment promotion role; The banks and their allied institutions by virtue of their strategic position and coupled with their skilled personnel are always at a better position to render services that are aimed at promoting investment in order to enhance economic growth and development. The investment promotion roles of banks include;

(a) **Investment management;** The bank perform the service of managing the investment of their customers that have many investment like; stock exchange investment, unit trust, managing enterprise etc. the bank always advice the

entrepreneur on the profitable opportunities to exploit in order to maximize profit. Some banks also spend some time in offering portfolio management to their customers. The portfolio management are the type of service and schemes that enable the bank to manage different investment on behalf of their clients.

(b) Provision of loans to entrepreneurs; Banks and financial institutions are primarily established with the aim of providing loans and other facilities to their entrepreneurs in order to sustain their activities in their match towards economic growth and development.

THE FUNCTIONAL AREAS OF BUSINESS

INTRODUCTION: Entrepreneurs need to be reminded from time to time about the basic functional areas regarding their enterprise so that they can be up to date and business like and for them to be efficient and effective managers as they get exposed to the basic managerial tools applied in day to day operations of business enterprises.

THE BASIC MANAGEMENT CONCEPTS AND FUNCTIONS

Any organization, whether new or old, whether small or big need to run smoothly and achieve the goals and objectives which it had set forth. They have to develop and implement their own management concepts. There are basically four management concepts that allow any organization handle its tactical, planned and set decisions.

The Four Function Of Management Are:

1. To plan: This is the foundation area of management. It is the base upon which all the areas of management should be built planning requires administration to assess, where the company is presently set, and where it would be in the target date.

From these an appropriate course of action is determined and implemented to attain the company's goals and objectives.

Planning is unending course of action. There may be sudden situations that companies have to face. Sometimes they are uncontrollable i.e external factors that constantly affect a company and so a company may have to alter its course of action in accomplishing certain goals. This kind of preparation/arrangement is known as strategic planning. In strategic planning, management analysis inside and outside factors that may affect the company and its objectives and goals.

They also have to study the strength and weaknesses, opportunities and threats. For management to efficiently, it has to be very practical and concise.

2. To organize: This is the second function of management i.e getting prepared and getting organized. Management must organise all its resources well before hand, in order to put into practice a course of action and to ensure what that has been planned is the base function. Through this process, management now determine the inside directorial configuration, establish and maintain relationship and also assign required resources. Here management ought to look at the different divisions or departments. They also see to the harmonization of staff, and try to find out the best way to handle the important out tasks within the company. Management determines the division of work according to its need. It also has to decide for suitable departments to hand over authority and responsibilities.

3. To direct: The third function of management is to direct. Working under this function help the management to control and supervise the actions of the staff. This helps them to assist. The staff in achieving the companies' goals and also accomplishing their personal or career goals which can be powered by motivation, communication, department dynamics and department leadership. Managers focus on motivating their employees. They come about with prize and incentive programmes based on job performance. Maintaining a productive working environment building positive interpersonal relationship and problem solving, and This can be done only with effective communication. Managers ask themselves and others at regular intervals how well they are doing so as to find

out areas that requires improvement. This lead to better relationship and helps the managers for better directing plan.

4. To control: This is the establishment of performance standard base on objective. It also involves evaluating and reporting of general job performance and comparing actual performance with expected bench marks. And to decides further corrective and preventive action.

The controlling processes is a continues process. It helps detect any probable problems. To solve performance problems management should insist on higher standard as they speak to the employee or department having problems. On the contrary, if there are inadequate resources or other external factors that disallow standard from being attained, management has to lower their standard as per requirement.

Effective and efficient management leads to success i.e to attain the objective and goals of the organization. For management to achieve its ultimate goal and aim, it need to work creatively in problem solving in all the four functions. Management not only has to see the needs of accomplishing the goals but also has to look into the process that are feasible for the company.

BASIC FUNCTION OF HUMAN CAPITAL MANAGEMENT IN A SMALL ENTERPRISE

Human resources management is the strategic and coherent approach to the management of an organization's most valued assets i.e. the people working there who individually and collectively contribute to the achievement of the objectives of the business. The term human resources management have largely replaced the term personnel management as a description of processes involved in managing people in the organization. Human resources management is both an academic theory and a business practice that addresses theoretically and practical techniques of managing a workforce.

Human capital management is a branch of management that is concerned with the paper planning, coordination, directing, and maintenance^{of} human resources in order to achieve the planned objectives of the organization. It involves all activities that would be put in place right from planning of personnel to retirement of

personnel from organization is also seen by many to have a key role in risk reduction within human management organizations. This revolves around determination of remuneration equitable with employee inputs, the determination of term and condition of employment that in-turn determines personal welfare as well as the determination and design policies that promotes training and retraining of the workforce for personal improvement and development and capacity to improve job performance.

HUMAN RESOURCES MANAGEMENT OBJECTIVES

Human resources manage is aim at:

1. Creating an affordable structure and climate that will promote mutual cooperation in the organization.
2. Recruiting, development and enticing the human resources that are required in an organization in order to achieve a given set of objectives.
3. Optimum utilization of the skill of those employed in the organization.
4. Meeting the social and legal responsibilities governing the employees.
5. Designing dynamic organization structures to support the business growth strategy.
6. Enhancing performance through motivation and participation
7. Establishing effective work relationships and proper communication with staff, required for growth.
8. Maintaining employee records and administration

FINANCE FUNCTION IN SMALL AND GROWING ENTREPRISE

Finance is regarded as the life wire of every enterprise. Thus its management is very pertinent in order to sustain entrepreneurial activities. However, there difference sources of financing enterprises and they are include short-term medium –term and long-term sources.

Understanding the need of an enterprise enable the entrepreneurs to estimate the capital requirement effectively in order to exploit the financing option from the banks and other allied institutions.

SOURCES OF BUSINESS FINANCE (FINANCING ENTERPRISES)

There are two prominent ways of financing entrepreneurial activities and they include equity and debt financing.

EQUITY FINANCING: This is the amount of money invested by an entrepreneur in running an organization or a business enterprise and the money (capital) does not demands the payment of interest, apart from the profit or dividend he expects to make. In other word equity financing is the type of financing option that does not need collateral security and it carries no obligation of repayment at a given interest charges as the case of the debt financing except otherwise. The common sources of the equity funds include:

1. Personal savings or personal funds
2. Assistance from friends and relations.
3. Undistributed profits/retailed earnings.
4. Business partners and associates

SOURCES OF EQUITY FINANCING

The equity finance is usually obtained from the following:

1. Personal saving: This is one of the fundamental sources of an enterprise capital, because it is generated out of personal savings and other resources (i.e in cash or kind) in order to get the start up capital for onward business activity.
2. Assistance/loans from relatives and friends: At times entrepreneurs are given one form of assistance and the other by their friends or relatives in order to boost their capital. This type of assistance is predominantly practiced in Africa where an interest free loan will be given to one to pursue his business goals.
3. Undistributed profit/retained earnings: The retained earnings is that profits the is plough back or reinvested back into the business in order to develop the activates of the business. Most organizations or enterprises prefer to reinvest the profit back into the business instead of collecting loans from the financial institutions at high interest rates.

4. Business partners and associates. They also form a substantial source of financing business organization especially where new partners or business associates are admitted through the sales of shares.

DEBT FINANCING

This is the financing options that is secured by entrepreneur from a firm. External source in order to meet up his business demand in addition to his equity capital and it is accompanied by interest payment which is based on the proportion of sales and profit which is based on the proportion of sales and profit of enterprise. This type of financing is also regarded as asset based financing because assets, such as land, cars, houses, plants etc. Are always surrendered as collateral in return of the loan that is granted to them.

When entrepreneurs obtain their finance from that this sources they are required to pay back the amount collected (principal) as well as the interest is expected in terms of the agreed give paragraph part from the interest rate that is based on the principal, the entrepreneurs at times pay additional fees like administrative charges or processing fees. Such charges vary from one institution to another.

There are basically three types of debt financing and they include:

1. Short-term funds
2. Medium term loans
3. Long – term loans

SHORT TERM FUNDS: These are the types of loan that are usually given within a short period of time, usually not more than a year. These loans are given to small scale entrepreneurs in order to finance their working capital and for an individual or enterprise to qualify for such loans depend on the profitability level of the enterprise strength of its current account and collateral security offered in exchange the expected loans. When the above conditions are not attainable, the bank may not grant the facility to the entrepreneurs except when the bank is only inclined to risk taking.

Short term loan are used by entrepreneurs to obtain the funds needed to sustain their activities e.g to finance current operations like, purchase of inventories, maintain account receivable, salaries and wages etc. short term financing option is widely adopted because it covers up sales period, make cash available for competition, meet unforeseen instances and contingencies and assists in meeting day to day obligations of a business. e.g Loans from friends and relatives, commercial and trade credit, borrowing from banks, bank overdraft, inheritance, sell of shares or personal assets, cooperative societies retained earnings, saving, commercial draft or promissory notes etc.

MEDIUM TERM LOAN: These are loans that are given to finance projects and they are identified with maturity period between two (2) to five (5) years. The loans are usually employed in acquiring fixed assets and other related projects with longer duration and economic life.

These form of loans are usually given when adequate collateral securities in term of fixed assets, share certificates, landed assets etc. have been properly presented. Sources of medium term funds include. Hire purchase, factory, inventory financing, leasing etc.

LONG TERM LOANS

These are the types of loans that are given for a period that is than more five years and they are used in financing fixed assets that are usually gigantic with long economic life span. The repayment periods are normally very long and the small enterprises are always disadvantage when looking for this types of loan as the entrepreneurs take into cognisance, the cost of the security, other financial obligation of the enterprise and the prospects of the money needs. Sources of long term funds include: common stock like ordinary share, preference shares and debentures.

FINANCIAL NEEDS FOR A SMALL BUSINESS

Proper and diligent feasibility study enables entrepreneurs to determine the capital needs and requirement of an enterprise. Therefore, the success of an enterprise is depended on its ability to define the following capital needs:

1. Fixed assets
2. Working capital
3. Fixed security investment
4. Promotional expenses (s) capital Funds for personal expenses.

Fixed Assets: These are assets that are tangible in nature and they include motor van, machine and machinery, equipment, land building etc.

Working capital: This is the capital that is required to sustain the day to day activities of an enterprise. The working capital include, cash stocks, marketable securities, account receivable etc. therefore there is need for enough cash at land, in order to sustain the entrepreneurial activities like offsetting bills, paying suppliers and other related expenses.

FIXED SECURITY INVESTMENT: This is capital set aside in form of stock and other contingency funds. The dividends that accrued from shares are use in enhancing the capital requirements of an enterprise and to cushion the effect caused by unforeseen contingency.

PROMOTIONAL EXPENSES This is the capital that is meant to accommodate all promotional activities such as, advertising, sales promotion, personal selling publicity and public relations etc. that are directed towards customer's sensitization.

Funds for personal expenses: These are funds that are required by entrepreneurs to maintain personal expenses that would arise in the course of managing the enterprise. The essence of setting aside funds to accommodate personal expenses is to avoid unnecessary use of funds that are meant for investment purposes in order not to interrupt the smooth conduct of the expertise.

BOOKS OF ACCOUNT NECESSARY FOR OPERATION OF ✓ SMALL ENTERPRISE

Books of account: These are books that record all business transactions of a given enterprise within a given period of time. It record transactions relating to receipt of cash, payment of cash sale of goods and purchase of goods. It records all the income and

expenditure of a business concern. These books are called subsidiary books e.g cash book, journals and general ledger.

CASH BOOK: This is a subsidiary book, which records the receipt and payment of cash. With the help of cash book, cash and bank balance can be checked at any point of time.

Cash book can be of four types:

1. Simple cash book
2. Two column cash book
3. Three Column cash book
4. Petty cash book

A simple cash book: Is prepared like any ordinary account. The receipts are recorded in the debit (Dr) side and the payments recorded in the credit (Cr) side of the cash book. The cash book is balanced like any other account the receipt column total in most cases is more than the payment column total. The difference will be written on the Credit side as Balance c/d.

A two column cash book: This book records discount allowed and discount received along with the cash payment and cash receipts. Discount allowed is the concession given by the business man to its customers or debtors. Discount received is the concession received by the businessman from the creditors.

A three column cash book: This is a cash book, which contains bank column along with cash and discount columns. A firm normally keeps the bulk of its funds at a bank, money can be deposited and withdrawn at will if it is a current account. Probably payments into and out of the bank will be more numerous than strict cash at bank. Therefore, it is very convenient if in the cash book on each side another document is needed to record moneys deposited transactions. There may be only a little difference between cash in hand and cash at bank and payments out of the bank.

Petty cash book: The petty cashier is given a sum of money in the beginning of the period. During the period he makes payment out of this money. At the end of the period, the firm reimburses him with the amount paid by him so that the balance of cash with him

⇒ Credit
⇒ Debit

are those to whom the business to pay cash
those that have pay you cash. *Wm*

remains same in the beginning of the period as well as at the end of the period. This is called the imprest system of petty cash book.

Journal: A journal is a chronological record of the business transaction of the enterprise. It is also called the "book of original entry" transactions are recorded based in the order of occurrence entries in the journal are supported by evidence or documents such as: sales invoice, official receipts, purchase orders, suppliers invoices etc. Originally, there was only one, "journal" called a general journal, but with time this journal become hard to maintain, and specific transactions were set out into specific journal e.g.

1. Cash or cheques disbursement journal. This is where you record all your disbursements.
2. Cash receipts journal. This is where you record all your income sales.
3. General journal. This is where you record all other transactions that does not require any cash.

General ledger: After all business transactions for the day have been recorded in the journal, the next step in the bookkeeping cycle requires that all entries should be properly transferred to the general ledger.

The general ledger is a collection of account, usually bound, showing the deferent transactions affecting the items in the balance sheet. It is also called the "book of the financial entry" or the books of secondary entry. Discount columns a firm normally keeps the bulk of its funds at a bank, money can be deposited and withdrawn at will if it is current account. Probably payments into and out of the bank will be more numerous than strict cash transactions.

There may be only a little difference between cash in hand and at bank. Therefore, it is very convenient if in the cash book side another column is added to record moneys deposited at bank and payments out of the bank.

IMPORTANCE OF MARKETING MIX TO THE GROWTH AND EXPANSION OF A SMALL ENTERPRISE

MARKETING MIX:

Organizations are primary established with the single desired of satisfying their target customers. The realization of this objectives solely depends on the tools applied by these organizations, in the course of serving the market with these products. Marketing mix is therefore classified as the tools used by organization to achieve their marketing objectives.

However, (NC carthy, 1996, Kotler, 2001) are of the opinion that marketing mix are classified under four (4) board headings namely product, price, place and promotion.

Product: it is anything initiated with the intension of satisfying buyers need in an optimum manner.

Cole, (1986) also perceives products as anything that is offered to a market for it use or consumption.

A product is always characterized by the following:

Ability to add value: it added value always positive effect on consumers.

- It existence as tangible objects or services.
- It must be capable of satisfy the need of a given market
- It must always be transacted in the market place
- Ability to add value it added value always have positive effect on consumers.

Price: Is the sum value money a consumer exchange in return of goods and services offered in the market after a given consideration. In other word price is the amount a customer pays for a product. It is determined by a number of factors including market share, competition, material cost, product identity and the customers perceived value of the product. The business may increase or decrease the price of product, of other stores have same product.

S = Strength
W = Weakness
O = Opportunities
T = Threats
SWOT

Place: place represent the location where a product services can be purchased. It is often referred to as the distribution channel that involves the physical movement of these products to their right places i.e from point of production to consumer or target market. Also it can include any physical store as well as virtual store on the internet or ware housing etc.

Promotion: promotion represents all of the communications that a marketer may use in the market place. Promotion has your distinct elements i.e advertising, public relations word sales promotion e.g incentive given at the point of sales, exhibition at located areas, personal selling etc. Promotion is one of the market mix variable that is aimed at creating need and awareness in the potential and prospective customers in a target market regarding the product or services offered in the market.

Pricing decision is essential in the life cycle of a product and product elasticity.

Price in general has a profound effect on the company's sales and profit and such effect varies from one firm to another.

There are many rationales behind price setting by firm's e.g

Maximization of profit: firms set price in order to generate fair return on their investment in form of profit.

Maximization of revenue: This concept capitalizes on how sales potential will be maximized in order to increase or minimizes the revenue base of the firm using the increase sales or turnover approached discounts allowed.

Survival approach: firms set an affordable market price in order to survive in the market as a result of growing pressure posed by the environmental variables like stiff competition, changes in taste and fashion, governmental policies etc.

Maximization of market share: This objective tends to make firms increase their market share or position, as increased market diametrically reduce the cost of production as a result of the economies of scale via mis-production. Low price advance the market in order to discourage both potential and prospective competitors.

ADVANTAGES OF WAREHOUSING TO THE GROWTH AND EXPANSION OF SMALL ENTERPRISES

1. It facilitates continue or uninterrupted flow of goods and services in order to reduce idle period.
2. It controls the supply of goods in the target market by ensuring the production of these goods by the right time and at the right place.
3. It permits the storage of assorted materials and products.
4. It also minimizes cost of transportation in large quantities or bulk.
5. Ware housing is used to regulate the fluctuation in the prices of products.
6. They facilities the production of goods in large volumes by manufacture.
7. They ensure periodic availability of goods and services at all times.

STRATEGIES FOR CONSOLIDATION AND EXPANSION OF BUSINESS ENTERPRISE

INTRODUCTION:

Organizations are established with the aim of actualizing their plans and purpose for their existence. Therefore, actualizing this target can only be possible through strategic option put in place to deliver or achieve the set objectives.

Strategic management is aimed at developing strategies and mechanisms that will be used in sustaining the organizational goals and objectives.

STRATEGY

Robson, (1997) advances that, strategy is the pattern of resources allocation decision made throughout an organization. That is, the process of engraving logical decisions, which involves the allocation of resources in the most acceptable pattern.

Porter, (1980) is of the opinion that a strategy is a broad based formula for how business is going to compete, what its goal

should be, and what policies will be needed to carry out those goals. It is a frame work designed to establish and sustain the prescribed goal in a befitting manner in the environment of operation.

Steiner & Miner, (1977) defines strategy as the formulation of basic organizational objectives and purpose, mission, policies and programme strategies to achieve them, and methods need to ensure that strategies are implemented to achieve organizational ends. Strategies is a process of identifying the primary reason, for establishing the organization and ensuring that objectives are achieved.

Lynch, (1997) persist that, a strategy is the linking process between the management of the organization internal resources and its external relationships with its customers, suppliers, competitors, and the economic and social environment in which it exists. He sees strategy as the linking pin between the organization and its environment.

Andrew, (1977) is of the opinion that a strategy is a pattern of major objectives, purpose or goals and policies and plans for achieving those goals and to define what business the company is in or to be in, and the kind of company it is to be.

In summary, strategy can be defined as the mechanism that is designed by the organization to allocate their resources within which the fundamental of their existence and the environment they are operating in other to achieve a given end. In other words, strategy is a method designed to sustain the purpose, goals, policies and the general plans for which an organization is established.

STRATEGIC MANAGEMENT

Our understanding of what a strategy is all about will definitely refresh and broaden our understanding of what strategy management is all about.

Johnson & schools, (1993) examine strategic management as the process of deciding on strategy and planning how that strategy is to be put into effect through strategic analysis, strategic choice and strategic implementation.

Thompson, et al (2001) lucidly put forward that strategic management is the managerial process of forming strategic vision, selecting objectives, implementing and executing the strategy over time and initiating whatever corrective adjustment in the vision objectives strategy, and execution are deemed appropriate.

Gleck and Jauch (1984) argued that strategic management is the stream of decision and actions which leads to the development of an effective strategies that help achieve cooperative objectives.

From the above standing point, strategic management is the process of formulating policies, actions and decisions, relating long term activities of the organizations in terms of their resources capability and the complexity of the environment in order to achieve the predefined objectives.

RELEVANCE OF STRATEGIC MANAGEMENT.

1. It serves as a guide to enable the organization to stand firm to their fundamental purpose of their existence.
2. It assists management and organization on how to track new opportunities and other environmental challenges.
3. It serves as a turning point that unifies and link the entire organization.
4. It assists the organization to establish and apply proactive management strategies and posture in their management process.
5. It promotes and sustains the development of business models that will ensure business success.
6. It ascertains adding value to what supplies are brought in the organization.
7. It assists management in resources allocation.

STRATEGIC DECISION

Quinn, (1980) holds that strategic decisions are those decisions that determine the overall direction of an enterprise, and its viability in respect of the predictable and unpredictable and the unknowable changes that may occur in its changing environment.

Johnson and Scholes (1993), stress that strategic decisions are concerned with the scopes of an organization activities, marching of an organizations activity to it environment and the resources allocation and relocation of major resources in an organization.

Drawing reference from the above definitions, strategic decisions are streams of long term decisions based on the fundamental existence of firms in light of the complex environment governing their operations.

FUNDAMENTAL ISSUES OF STRATEGIC DECISIONS

Every strategic decision in an organization is expected to contain the following issues;

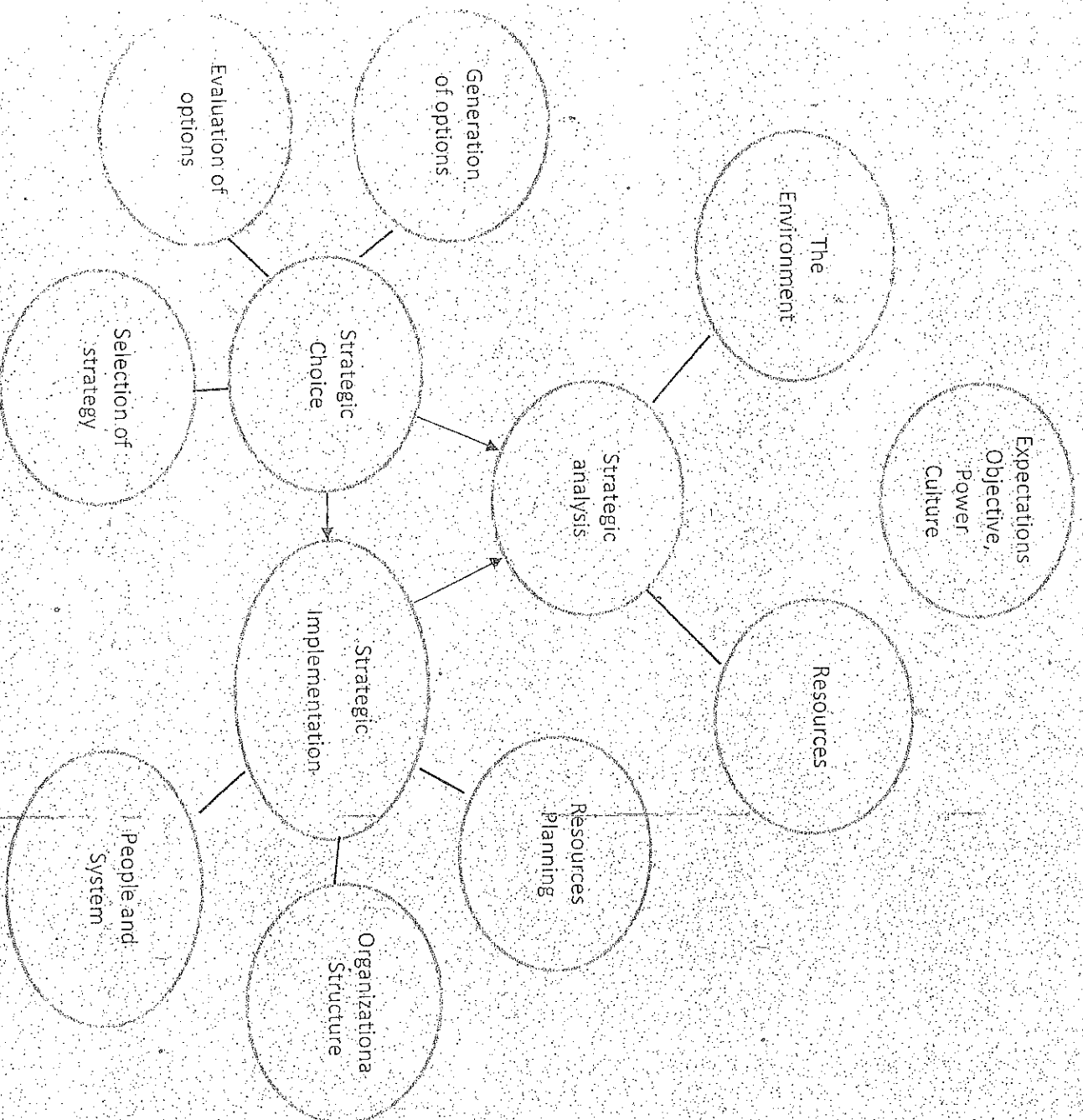
1. **Sustainability;** A strategic decision is expected to sustain and deliver the long term goals and survival of the organization and accommodate the environmental changes.
2. **Distinctiveness;** A strategic decision needs to be distinctive and not to be similar with that of the surrounding competitors. These is possible through exploiting innovative strategies that are parallel to potential competitors.
3. **Competitive Edge;** Organization do not operate in a vacuum but rather in an environment that consist of competitors, and so, strategic decisions should also be tailored to offer competitive advantage to the firm to promote sustainable growth.
4. **Tap inter related linkage between the organization and it environment;** The strategy should be able to tap the numerous and inter related linkages that exist between the organization and it surrounding environment in an optimum manner. E.g. relationship between the organization and it competitors, government, customers, suppliers etc.
5. **Visionary;** A strategic decision ought to be capable in moving the organization from their status quo to a sustainable level via the innovative strategies.

STRATEGIES MANAGEMENT PROCESS

The strategic management process is knitted with inter related activities since it reflects the operating forces in the environment (That is internal and external)

Johnson and Scholes, (1993) contend that strategic management process has three inter locking elements which include: strategic analysis, strategic development (Choice) and strategic implementation as shown below.

STRATEGIC MANAGEMENT PROCESS



Sources: Johnson and Scholes, (1993)

STRATEGICS ANALYSIS

This is the systematic way of assessing the mission and objective of the organization, alongside with the environment and the resources at disposal. Strategic analysis is always done by managers at the upper echelon of the organization, matching it with the strength and weakness via the resource management style, prevailing power of stakeholders and cultural background of the organization.

a. **Environmental analysis:** The analysis of the environment is paramount to the organization in the strategic management process because is a plus factor that improve the quality of the strategic decision. The diligent analysis of the environment is very important in order to exploit the opportunity available in the environment and to deflate the possible threats that are bound to effect the effective delivery of the organizational objectives.

b. **Analysis of the cultural value, objective and power:** this is the second task in the strategic analysis which involves the evaluation of cultural values and organizational objectives. Understanding the cultural pattern is necessary because it effect both the strategic choice and implementation process. This section covers the guiding models that will assist in dissecting the cultural value and objective and the power and structure of the organizations.

c. **Analysis of the organizational resources:** power is another element that needs to be taken into cognizance in the process of formulating strategy. The analysis of power is very crucial because it shows the boundary of organizational power structure. Power is therefore, the ability and capability of group and organizational members to obtain and utilize the human and material resources in an optimum manner. Organizational resources consist of both the human and material resources. The resources are very important because it determines the internal capability of the organization in order to establish the degree of organizational strength and weaknesses. Resource based analysis is done with regards to the existing and potential competitors. Competing on resources in the environment is all about adding value to the nature and purpose of the organization.

Organizational resources can be analysed in terms of product and market (i.e. share of the present market, position in the product lifecycle, distribution network, marketing and marketing resource). Organization and human resources could be analysed with regards to; its structure, management style and succession planning, staff training and development, labour management relations, pay structure etc. however, assessing the finance is based on the

current asset and capital structure, cash flow pattern, and process of financial management.

2. STRATEGIC CHOICE (STRATEGY SELECTION PROCESS): after an effective strategic analysis, it is then followed by the strategy selection process, which involves the generation of strategic options, evaluating the options, and selecting the strategy that matches the purpose of organization.

3. STRATEGIC IMPLEMENTATION PROCESS

When strategies are formulated and selected, the succeeding activity dwells on the final implementation of the chosen strategy to match it purpose. The strategic implementation process involves some interrelated activities, which include: resource planning, redefining organizational structure, employee and the system at last. The re-definite process is about making the necessary adjustments, with regards to the aspired changes in other to actualize the strategies into action. Organizational success has a linear relationship with effective implementation of the strategy.

a. Planning resources: this is the process of identifying the organizational responsibilities, how the responsibilities are to be executed, and by whom (i.e. the person responsible). These is a necessary step because the strategy has changed almost every aspect of the organization in terms of human and material resources allocation, which of cause demands a deliberate plan at both the cooperate and divisional level of the organization. Allocating resources to the cooperate level should be based on the business strategy and that of the divisional level should be through budgeting, planning, and control mechanism.

b. Re-defining organizational structure: organizational structure shows the hierarchical arrangement of authorities and responsibility that are available based on objectives of the organization. The structure defines the relationship between functional areas and the responsibilities. In designing the structure, the management should understand the following parameter; size of the organization, level of the organizational growths, objective of the organization etc. in other to avoid problems and

conflict of responsibilities because they impede the growth and development of the organization

- c. Employees and the activity system; employees are seen as one of the vital resources that leads to actualization of strategic actions and the coordination of the entire system. It is also not uncommon to see that employees at time do resist change, since that is the central purpose that governs strategic implementation process. The activity system of an organization entails the control and regulatory mechanism, and political system.

ENTREPRENEURIAL PROCESS

INTRODUCTION:

The process of establishing entrepreneurial activities is identified with some distinct activities, that are directed towards finding, evaluating and development of opportunities. It is therefore necessary for entrepreneurs to adhere strictly to the processes, that are involved in establishing enterprises in order to select viable opportunities that would sustain the enterprise effectively.

STEPS IN ENTREPRENEURIAL PROCESS

As earlier noted, entrepreneurship is the process of creating new ideas using the resources at disposal. The process of reaching an informed entrepreneurial decision is identified with the following steps:

1. Recognition of opportunities
2. Evaluation of the opportunities
3. Developing of business plan
4. Determining the resources need of the job
5. Starting an enterprise
6. Managing the enterprise

Recognition of opportunities

This is the first step in entrepreneurial process and it is the stage where entrepreneurs would trace the opportunities that are available in the environment. During this process the entrepreneur are expected to recognize the bulk opportunities that are available. When opportunities are identified, the process is continued and when it is not the entrepreneurial process is terminated. Opportunity identification is a critical element in the entrepreneurial process because it defines the commencement of the enterprise. The ability of the entrepreneur to identify opportunities is a function derived from the extent by which there are creative, knowledgeable and experienced, self-motivating and confident.

For entrepreneur to identify the opportunities that are available, they have to scan the environment in order to track the unsatisfied needs

that are profitable based on availability of sources of opportunities, extent of creativity and the support systems in the environment.

Evaluating Entrepreneurial Opportunities

Once opportunities are recognized, it is also important to evaluate them in other to locate the profitable one because some opportunities are at times presented simultaneously. Entrepreneurs need to be diligent in screening and evaluating the opportunities because it is a fundamental activity in the entrepreneurial process. During the assessment process, the entrepreneur are expected to take the following into cognizance: length of the opportunities, the values of the opportunities, the risk and profitability (returns) of the opportunities, fitness of the opportunities to the entrepreneurial and organizational goals, the uniqueness of the opportunities, personal stuff and goals of the entrepreneurs, time and effort to make the venture succeed.

Opportunity analysis is also known as opportunities assessment plan, which enables entrepreneur to reach decision to either exploit an opportunity or not to exploit it as the case may be.

To exploit an opportunity effectively, entrepreneur is expected to establish working plan that contains;

- A vivid description of the product or service.
- Assessment of opportunity.
- Personal and collective assessment of the entrepreneurs
- Resource requirement to transform the opportunities
- Source of capital to finance the venture etc

Development of a Business Plan

This is the second phase of entrepreneurship process where a business plan is designed after the selection of the profitable opportunity. To exploit business plan is very important because it determines, how the opportunity will be developed, the resources requirement and their sources, it strong footing and how the business venture will be managed.

Business planning:

This is the genesis of managerial responsibilities and undoubtedly the most significant function of management. It involves the act of visualizing the future, by forecasting the internal and external changes in the environment. As one of the major managerial functions, it is concerned with how both profit and non-profit organizations is to be positioned in the future. The entrepreneur needs to understand business planning to enable his business to be competitively positioned in the environment. Planning involves setting goals and determining the pattern to achieving them. It helps to clarify objectives. Planning determines what is expected to be accomplished. How it should be accomplished, when it should be accomplished and why it should be accomplished, planning makes the difference between success and failure.

Importance/Needs for Business Planning

Just and an adage says, "he who fails to plan plans to fail". This emphasizes that business planning is very important in the life cycle of an organization or enterprise because, it serves as the road map for the entrepreneurs to determine what he/she intends to do and how it can be accomplished. Business planning provides the following benefits:

1. It facilitates control: it regulates activities as it allows decision makers establish standards that will be compared with actual performance and in-case of deviation between plans and performance, then necessary actions will be taken to correct the abnormalities.
2. It enhances coordinated /collective efforts: business planning integrates all ramifications of business organization by putting in their respective quota in order to achieve the central objectives. That is to say business planning brings about coordinated efforts towards organizational objectives.
3. It reduces uncertainties: planning also make managers or entrepreneurs anticipate the likely environmental changes.

thereby limiting the degree of uncertainties that may likely befall the organization in the future.

4. It eliminates wastage and redundancy: proper business planning leads to adequate coordination, elimination of wastage and redundancy that might arise as a result of in efficiency.
5. It defines organizational growth and survival: business plans enable entrepreneurs exploit profitable opportunities, which is the essential element that defines organization/ enterprises growth and survival.

Determine the Resources Need for Starting an Enterprise

This is the process and phase in ascertaining the total value of resources that are needed in sustaining the opportunity that is selected. The assessment of the resources is done in order to determine the resources capability especially the once that are critical to the objective of the organization. Effort should be made by entrepreneurs to avoid the underestimation of resources and type of resources that are to be employed, ensure the timely supply and control of the resources at a reduced cost. Commission i.e. starting an enterprise

Starting an Enterprise

After selecting an opportunity, the entrepreneur will then establish the enterprise using either of the two identifiable ways i.e. either establishing the enterprise of a new kind or buying an existing enterprise.

Managing the Enterprise

The management of the enterprise is also very important because it involves the planning, organizing and controlling of resources of an enterprise.

ROLE OF GOVERNMENTⁱⁿ SUPPORTING ENTREPRENEURIAL DEVELOPMENT

Government participate in developing entrepreneurial activities by performing some fundamental roles, which include;

Participatory Role:- The three tiers of government (Federal, State and Local) pursue entrepreneurial goals by participating directly in of stakes. This is done in order to motivate private sector participation in the economic transformation process because example is always better than precept.

Facilitating Role:- Government also tend to sustain and facilitate the successful conduct of entrepreneurial activities because of the outstanding roles that lead to the development of individuals firms and the economy as a whole.

Regulatory Role:- It is duty of the government to regulate the activities of its citizens including entrepreneurial activities. This is done with the view to ensure healthy entrepreneurial practices and environment by adopting both policy and institutional mechanism which include;

- Establishment of rules, regulations and laws that guide the formation of enterprises.

- Establishment of support agencies and policies to ensure ethical practices among entrepreneurs.

- Direct court action in order to correct or punish enterprises that always bend the laws regulating their activities.

HOW GOVERNMENT ASSIST IN DEVELOPING ENTREPRENEURSHIP

Government have been assisting in supporting entrepreneurial activities in Nigeria in the following areas.

Provision of Infrastructural facilities:- It is the policy objective of government to provide infrastructural facilities like roads, electricity, pipe borned water, industrial estate, etc. in order to promote massive development of entrepreneurial activities.

Research and Development:- Government have also taken the responsibility and challenges to establish agencies and institutions that specialize in conducting research and development activities that are aimed at developing entrepreneurship. In Nigeria for instance, centre for industrial research, Oshodi (FIRO) are established with the aim of conducting researches into various areas of entrepreneurial activities in order to educate entrepreneurs and stakeholders. The research institutions also organize seminars and workshops in order to educate entrepreneurs on different issues and areas of entrepreneurial activities.

in order to educate entrepreneurs on different issues and areas affecting entrepreneurs.

Creation of Investment Environment:- Various measures are adopted by Government to sustain an investment environment that would stimulate and encourage the participation of domestic and foreign entrepreneurs. This role is promoted by ensuring the safety and security of lives and properties by establishing adequate security measures.

Training and Orientation:- Government also promote the establishment of agencies that are charged with the responsibility of providing different training programmes for entrepreneurs in order to enhance their innovative and managerial skills. The training programmes assist the entrepreneurs in the registration of enterprises, facilities layout, record keeping, resources utilization and management etc. the agencies that promote this role of government in Nigeria include national agency for poverty eradication (NAPEP), small and medium enterprises development agency of Nigeria (SMEDAN), industrial training fund (ITF) etc.

Provision of Finance:- Finance is one of the problems that affect the development of entrepreneurial activities. Having recognized this predicament, government established some banks and institutions like bank of industry, people bank of Nigeria, Nigeria industrial development bank (NIDB) etc in order to provide loans to small scale entrepreneurs at reduced interest rates than that of the commercial banks.

Directives to commercial banks:- The federal government through the central bank always formulate monetary policies that would regulate the activities of the commercial banks in order to promote entrepreneurial growth and development. One of such roles is the directive on minimum credit to be granted to small scale operators.

Protection of Domestic Enterprises:- The federal government as part of its effort to induce entrepreneurial activities always adopt some measures to protect domestic enterprises. The essences of adopting these measures is to protect the infant industries and enterprises from stiff competitive pressures from the counterparts, which eventually impede their growth and consequently economic growth.

ENTREPRENEURSHIP SUPPORT PROGRAMMES AND AGENCIES IN NIGERIA

There are different support programmes and agencies that were established to promote the rapid development of entrepreneurial activities in Nigerian and they include among others.

NATIONAL ECONOMIC RECONSTRUCTION FUND (NERFUND)

This agency was established by the federal government on 19th January, 1990 by decree No. 2 of 1989 with the fundamental aim of inducing rapid industrial output in Nigeria in order to arrest some of the economic difficulties that paralysed most of the small and medium scales enterprises in the area of agricultural, manufacturing, solid and minerals.

RAW MATERIALS RESEARCH AND DEVELOPMENT COUNCIL (RM/RDC)

The raw material research and development council was established on 10th February, 1988 under decree No. 39 of 1980. The agency was primarily set up in order to exploit the abundant supply of raw materials and other forms of resources to promote massive industrial growth in Nigeria. This idea was logically conceived in order to discourage the undue import of raw materials from other countries, because of its consequential effects on the economy at large. On the other hand, it is establish to stimulate the development of local raw materials for industrial and domestic usage.

INDUSTRIAL TRAINING FUNDS (ITF)

The industrial training fund was put in place on the 8th October 1971 by virtues of decree No. 49 of the same year. The establishment of the ITF was guided by the desire of promoting and encouraging the acquisition of skills in Industry and Commerce in order to generate indigenous manpower to meet the needs of the economy.

The sources of revenue that are opened to the ITF are the 3% mandatory contribution by the employers out of the turnover and the subvention from the federal government. However, the mandatory contribution by the employers was reduced to 2% and 1% by 1973 and 1975 respectively following the amendment of decree No. 37 failure to remit the prescribed levy by the employers attracts a penalty fee of 5% of the unpaid amount at each month.

The reimbursement and Grant scheme of the ITF was brought into existence by July, 1973 and it consists of the total cost of training employees and further studies the governing council was mandated with the power to grant a maximum of reimbursement of 60% of the employers contribution. The fourth grant scheme was put in place to accelerate the reimbursement of appropriate grants once the payments are made accordingly. The prompt payment is introduced in order to encourage the employers to train their employees for an improved quality.

NIGERIA EXPORT PROMOTION COUNCIL (NEPC)

The Nigerian export promotion council was formed by decree No 14 of 1988 in order to promote the active participation of Nigeria exporters in trade fairs and exhibitions that are organized in Nigeria and outside the country. The aim is sustained by government intervention in the provision of export development fund, export expansion fund and export adjustment scheme.

NATIONAL POVERTY ERADICATION PROGRAMME (NAPEP)

The federal government of Nigeria during the reign of Obasanjo established the programme in order to minimize poverty. The NAPEP is solely charged with the responsibility of coordinating and monitoring all poverty eradication activities at the federal, state and local government areas of the country. The reason for the extension of the programme to state and local government is to stimulate economic development from the grass root as envisaged by National Poverty Eradication Council (NAPEEC).

To achieve the purpose the programme is instituted for several auxiliary and supporting programmes were put in place to cover different aspects in order to minimize the level of poverty.

BANK OF INDUSTRY (BOI)

The bank was brought into limelight by the amalgamation of Nigeria Bank for Commerce and Industry (NBCI) and National Economic Reconstruction Fund (NERFUND) in 2002 by the Economic Reconstruction Fund (NERFUND) in 2002 by the Federal Government of Nigerian under the auspices of the Central Bank of Nigeria. The bank was primarily established to grant loans to entrepreneurs especially the Small and Medium Scale Enterprises (SMEs) in order to boost their activities. The loans and facilities are specifically given to entrepreneurs that are engaged in commercial and industrial production who could not access the loans given by the Nigeria Industrial Development Bank (NIDB).

NATIONAL DIRECTORATE OF EMPLOYMENT (NDE)

This institution was conceived in 1986 and brought into play in 1989 by Decree No. 24 of 1989 under the auspices of Federal Ministry of Employment, Labour and Productivity in order to curb the tenacious trend of unemployment in Nigeria.

CENTRAL BANK OF NIGERIA (CBN)

The Central Bank of Nigeria (CBN) is the apex bank in Nigeria by the CBN ordinance of 1958. It is the bank that is empowered to regulate financial activities and institutions in order to promote economic development by deploying the financial resource from the surplus to the deficit unit of the economy. The central bank of Nigeria has been practically involved in the journey of accelerate the development of entrepreneurial activities via small and medium scale enterprises (SMEs). The Central Bank has been the central actor that has been acting on behalf of government in funding and disbursement of financial grants.

PEOPLE BANK OF NIGERIA (PBN)

This bank was established in 1989 with the aim of providing credit of small and medium scale enterprises (SMES). The bank was established as part of the conditionality attached to the structural adjustment programme (SAP) that paved the way for the liberalization of the financial sector. The liberalization policy the liberalization of the financial sector. The liberalization policy was directed to promote the expansion and proliferation of banks in rural and urban areas in order to grant loans to poor people. The bank was later merged with

Nigerian Agricultural and Cooperation Bank (NACB).

NIGERIAN AGRICULTURAL AND COOPERATIVE BANK (NACB)

The establishment of the Nigerian Agricultural and Cooperative Bank (NACB) is rooted to the Nigerian Agricultural Bank (NAB) that was established on the

6th of Marc, 1973 by the federal government of Nigeria. The Nigerian Agricultural Bank Started with an equity capital of N12 million provided by the Federal government and the CBN with the object of financing agricultural development projects and allied industries.

The bank has its headquarter located at Kaduna with branches across the state capitals with three functional units, namely; projects and consultancy units, operations units, was later renamed as Nigeria Agricultural and Cooperative Bank (NACB) during the 1977/1978 fiscal years.

THE NIGERIAN BANK FOR COMMERCE AND INDUSTRIES (NBCI)

The NBCI was established in Nigeria by Decree No. 22 on the 5th May, 1973 to provide equity capital and funds through loans to indigenous individuals, firms and organizations that are operating as the small and medium scale industries. The establishment of the bank is rooted to the promulgation of the Nigerian enterprise promotion Decree of 1972 that was principally put in place to sustain the development of the indigenous industries especially the ones that are rated as the small and the medium type. The bank was established to allay and forestall the prior fear harboured by individuals on the indigenization policy because of the inadequacies of the funds and technical expertise to sustain the exercise. The bank obtained funds from institutional enders such as banks, insurance companies, federal government and the central bank through special grants and loans from the government.

STATE MINISTRY OF COMMERCE AND INDUSTRY (SMCI)

Sequel to the quest for promoting economic growth and development across the country, the states on their part are not left out of the course of accelerating entrepreneurial activities. The state ministry commerce is saddled with the responsibility of coordinating and promoting commercial and industrial activities identified in the state. This indicates that every state has its entrepreneurial goals and this accounts for the variation in policies, programmes and activities of the state government.

EDUCATION AND RESEARCH INSTITUTES

These are institutions that are established by the federal government of Nigeria in order to promote entrepreneurial activities. These institutions cut across university, research centres and colleges and polytechnics, technological and other affiliated institutions. The institutions are basically established to provide; education, training as well as research into different areas that will induce economic growth and development. The research institutions are primarily put in place to conduct researches alone and the universities on the other hand provide other services that are distinct from research.

SMALL AND MEDIUM ENTERPRISE DEVELOPMENT AGENCY OF NIGERIA (SMEDAN)

The SMEDAN was established by federal government of Nigeria during the era of chief Olusegun Obasanjo with the aim of developing the SMES because of